EQUITY RESEARCH · INDEPENDENT VALUATION 08 Jul 2026

UTILITIES · UTILITIES - INDEPENDENT POWER PRODUCERS

Constellation Energy Corporation CEG

STANDARD (2-STAGE FCFE)

RATING	FAIR VALUE	PRICE	UPSIDE
UNDERWEIGHT	$141.44	$242.10	-42%

Discount rate 7.28% · data: yfinance

INVESTMENT THESIS

We initiate our independent valuation of **Constellation Energy Corporation (CEG)** with a **UNDERWEIGHT** stance and a fair value of **$141.44**, -42% against the current $242.10. Fair value is derived using the **2-Stage Free Cash Flow to Equity**, selected for this company's sector — anchored to forward analyst estimates and discounted at a 7.3% cost of equity. Cash flows are sourced from analyst levered-FCF consensus (10y) then fade to 2.5%.

Constellation Energy Corporation generated $25.53bn of revenue at a 16% EBIT margin in the latest fiscal year, having compounded the top line at 1.5% over the historical window. Market capitalisation stands at $86.45bn with $5.35bn of net debt.

Consistent with a long-duration cash-flow profile, 68% of the intrinsic value sits in the terminal value — the present value of cash flows beyond the explicit 10-year forecast. This is normal for a growth or infrastructure asset and underlines that the valuation rests on analyst growth expectations being realised.

By way of contrast, the 12-month analyst price target of $357.81 (+48%) sits above our intrinsic fair value. These measure different things: our fair value is what the business is worth on its projected cash flows, while the price target is where analysts expect the shares to trade near-term. A persistent gap is normal and reflects how much of the intrinsic value the market is currently willing to pay for.

Fair value from a 2-stage Free Cash Flow to Equity model: analyst levered-FCF estimates over 10 years plus a Gordon terminal, discounted at the cost of equity.

KEY DATA

Market cap	**$86.45bn**
Enterprise value	**$91.81bn**
Net debt	**$5.35bn**
Net debt / EBITDA	**0.9x**
EV / EBITDA (LTM)	**15.4x**
P/E (LTM)	**32.8x**
FCF yield (LTM)	**1.9%**
Dividend yield	**0.7%**
Beta	**1.12**
Diluted shares	**357mn**

FINANCIAL SUMMARY & VALUATION

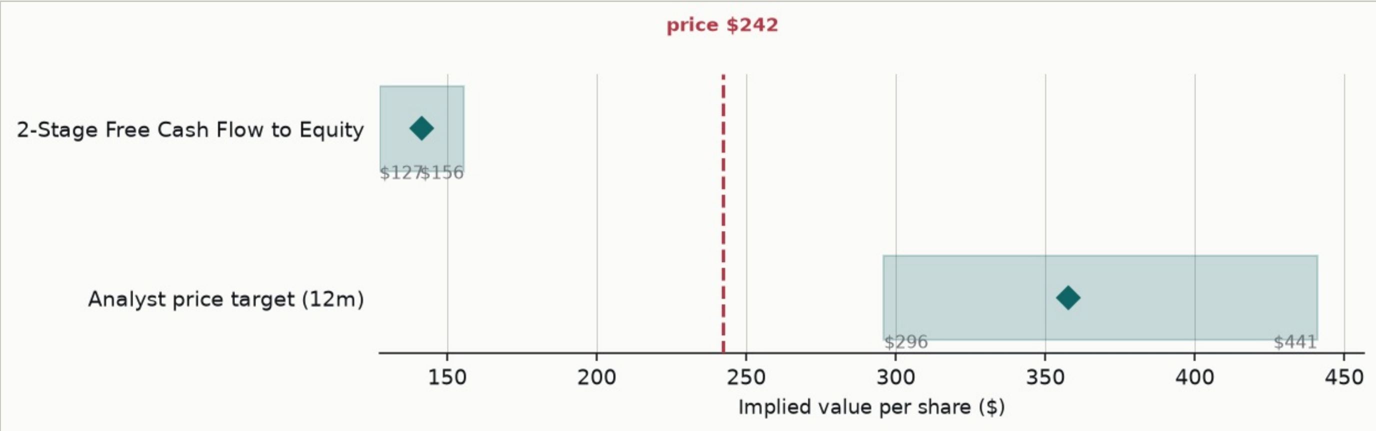
$, PER SHARE WHERE NOTED	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E
Revenue	$23.57bn	$25.53bn	$25.91bn	$26.32bn	$26.77bn	$27.27bn
growth	-5.4%	+8.3%	+1.5%	+1.6%	+1.7%	+1.8%
EBITDA	$7.03bn	$5.96bn	$6.28bn	$6.25bn	$6.21bn	$6.19bn
EBIT margin	20.6%	16.4%	16.4%	15.9%	15.4%	14.9%
EPS	$11.90	$7.39	$7.49	$7.35	$7.21	$7.08

FCFF/share	($15.99)	$4.93	$7.08	$6.92	$6.76	$6.60
EV/EBITDA	13.1x	15.4x	14.6x	14.7x	14.8x	14.8x
P/E	20.3x	32.8x	32.3x	32.9x	33.6x	34.2x
FCF yield	-6.2%	1.9%	2.8%	2.7%	2.6%	2.6%

Multiples struck at the current price/EV against each year's estimates. Forecast EPS approximates net income as (EBIT − LTM interest) × (1−t).

VALUATION SUMMARY

EXHIBIT 1 · FAIR VALUE VS. PRICE



ESTIMATE	VALUE / SHARE	UPSIDE
2-Stage Free Cash Flow to Equity (fair value)	**$141.44**	**-42%**
Analyst price target (12m consensus)	$357.81	+48%

The headline fair value is the intrinsic valuation (Simply Wall St methodology, analyst-driven cash flows). The analyst price target is a 12-month price forecast shown for contrast — it answers a different question (where the market may trade the stock) and is not part of the intrinsic value.

FINANCIAL MODEL — HISTORICALS & ANALYST FORECAST

Reported actuals (A) followed by the analyst-estimate forecast (E). The **Levered FCF** column is the exact cash-flow stream discounted in the intrinsic valuation below — the P&L, the cash flow and the fair value are one reconciled chain.

FISCAL YEAR	REVENUE	GROWTH	EBIT	MARGIN	NET INCOME	EPS
2022A	$24.44bn	–	($408mn)	-1.7%	($160mn)	($0.49)
2023A	$24.92bn	+2.0%	$2.39bn	9.6%	$1.62bn	$5.01
2024A	$23.57bn	-5.4%	$4.85bn	20.6%	$3.75bn	$11.90
2025A	$25.53bn	+8.3%	$4.20bn	16.4%	$2.32bn	$7.39
2026E	$35.62bn A	+39.5%	$5.86bn	16.4%	$4.85bn	$13.58 A
2027E	$36.69bn	+3.0%	$6.03bn	16.4%	$3.33bn	$9.33
2028E	$37.79bn	+3.0%	$6.21bn	16.4%	$3.43bn	$9.61
2029E	$38.92bn	+3.0%	$6.40bn	16.4%	$3.53bn	$9.90
2030E	$40.09bn	+3.0%	$6.59bn	16.4%	$3.64bn	$10.20
2031E	$41.29bn	+3.0%	$6.79bn	16.4%	$3.75bn	$10.50
2032E	$42.53bn	+3.0%	$6.99bn	16.4%	$3.86bn	$10.82
2033E	$43.81bn	+3.0%	$7.20bn	16.4%	$3.98bn	$11.14
2034E	$45.12bn	+3.0%	$7.42bn	16.4%	$4.10bn	$11.48
2035E	$46.47bn	+3.0%	$7.64bn	16.4%	$4.22bn	$11.82

Bridge to levered free cash flow (what the DCF discounts)

FISCAL YEAR	REVENUE	NET INCOME	LEVERED FCF	FCF MARGIN	SOURCE
2026E	$35.62bn	$4.85bn	**$1.49bn**	4.2%	Analyst
2027E	$36.69bn	$3.33bn	**$1.71bn**	4.7%	Analyst
2028E	$37.79bn	$3.43bn	**$1.94bn**	5.1%	Analyst
2029E	$38.92bn	$3.53bn	**$2.16bn**	5.6%	Analyst
2030E	$40.09bn	$3.64bn	**$2.39bn**	6.0%	Analyst
2031E	$41.29bn	$3.75bn	**$2.61bn**	6.3%	Analyst
2032E	$42.53bn	$3.86bn	**$2.80bn**	6.6%	Analyst
2033E	$43.81bn	$3.98bn	**$2.98bn**	6.8%	Analyst
2034E	$45.12bn	$4.10bn	**$3.13bn**	6.9%	Analyst
2035E	$46.47bn	$4.22bn	**$3.24bn**	7.0%	Analyst

“A” marks figures taken directly from analyst consensus; unmarked forecast figures are derived by holding the latest reported margin stable. The Levered FCF column ties exactly to the 10-year cash-flow forecast in the intrinsic valuation, so every number traces from revenue through to the $141.44 fair value.

RATIO ANALYSIS — LEVERAGE, COVERAGE & RETURNS

METRIC	FY2022A	FY2023A	FY2024A	FY2025A
Net debt / EBITDA	3.4x	1.9x	0.8x	0.9x
EBIT / interest	-1.6x	5.5x	9.6x	8.2x
ROE	-1.5%	14.9%	28.5%	16.0%
ROIC (NOPAT/IC)	-1.8%	8.6%	18.6%	15.1%
FCF conversion (FCFF/NOPAT)	1848%	-423%	-181%	66%
Capex / D&A	0.91x	1.29x	1.28x	1.52x

INTRINSIC VALUATION — 2-STAGE FREE CASH FLOW TO EQUITY

Fair value is built from **forward analyst estimates**, not historical cash flow — the methodology used by Simply Wall St. The model is selected by sector: a 2-stage cash-flow model for most companies, Excess Returns for financials, AFFO for REITs, or a dividend model for consistent payers. Every figure below is traceable.

Fair value per share **$141.44** -42% vs price $242.10

Discount rate (cost of equity) 7.28% · terminal value 68% of total · source: analyst levered-FCF consensus (10y) then fade to 2.5%

10-year cash-flow forecast

YEAR	CASH FLOW ($MN)	SOURCE	DISCOUNT FACTOR	PRESENT VALUE ($MN)
2026	1,493	Analyst	0.932	1,392
2027	1,711	Analyst	0.869	1,486
2028	1,936	Analyst	0.810	1,568
2029	2,164	Analyst	0.755	1,634
2030	2,390	Analyst	0.704	1,682
2031	2,606	Analyst	0.656	1,709
2032	2,805	Analyst	0.611	1,715
2033	2,980	Analyst	0.570	1,699

2034	3,126	Analyst	0.531	1,661
2035	3,235	Analyst	0.495	1,602

Valuation build

PV of next 10 years' cash flows	**$16.15bn**
Terminal value (Gordon)	**$69.38bn**
PV of terminal value	**$34.36bn**
Total equity value	**$50.51bn**
Shares outstanding	**357mn**
Value per share	**$141.44**
Discount to fair value	**41.6%**

Discount rate — cost of equity

Risk-free rate (5y avg 10y govt bond)	**3.60%**
Equity risk premium (Damodaran)	**4.60%**
Industry unlevered beta (utilities)	**0.390**
Debt / equity	**10.4%**
Levered beta = unlev·(1+(1−t)·D/E)	**0.419**
Levered beta (clamped 0.8–2.0)	**0.800**
Cost of equity = Rf + β·ERP	**7.28%**

Cost of equity = risk-free rate + levered beta × equity risk premium. The risk-free rate is a 5-year average of the 10-year government bond (not the spot rate, to avoid volatile valuations). Beta is built bottom-up from the industry unlevered beta, re-levered to the company's capital structure and clamped to a practical 0.8–2.0 band (Damodaran).

Levered FCF to equity from analyst consensus, discounted at the cost of equity over 10 years plus a Gordon terminal. The forward estimates are the central input — history is used only where estimates are absent.

FACTOR SENSITIVITY MAP — WHAT MOVES THIS STOCK

Exposure levels are scored from the model and the historicals, with the mechanism spelled out.

TYPE	FACTOR	EXPOSURE	EVIDENCE	WHY / MECHANISM
Macro	**Interest rates / discount rate**	HIGH	75bps of WACC ≈ $11.00/sh (13%); TV = 72% of EV	Long-duration cash flows: the further out the value sits (terminal-heavy), the more a shift in rates or the equity risk premium re-prices the stock, independent of operations.
Macro	**Economic cycle / demand**	MEDIUM	Revenue growth volatility σ = 5.6% over 3y	Historical top-line dispersion is the cleanest read on cyclicality: a stable compounding base decouples from GDP; a volatile one imports the macro cycle into earnings.
Macro	**Inflation / input costs**	HIGH	−100bps EBIT margin ≈ −$8.22/sh; margin σ = 8.4%	Cost pass-through is the test: firms with pricing power hold margin through inflation; historical margin volatility shows how much of past cost shocks reached the P&L.
Macro	**Credit & refinancing**	LOW	Net debt/EBITDA = 0.9x; EBIT/interest = 8.2x	Leverage converts operating shortfalls into equity stress: the higher the stack, the more a slowdown or a repricing of debt costs flows straight to the equity holder.
Micro	**Competitive erosion**	MEDIUM	ROIC−WACC spread = 588bps	Excess returns invite entry: the wider the spread, the bigger the prize for competitors — but also the bigger the buffer before growth stops creating value. A thin spread means small competitive slippage flips growth to value destruction.
Micro	**Execution vs expectations**	HIGH	Implied y1 growth 12.3% vs base 1.5%	Market expects MORE than our base — priced for execution. The equity reprices on the gap between delivery and what the tape already discounts, not on

				absolute results.
Micro	**Capital intensity**	MEDIUM	`Capex/D&A = 1.25x; capex = 9.8% of sales`	Above 1x, the business must keep buying its own growth — FCF conversion stays hostage to the reinvestment cycle; below 1x, depreciation overstates true capital needs and cash conversion runs ahead of earnings.
Micro	**Pricing power / margin stability**	HIGH	`EBIT margin σ = 8.4% (range -2%–21%)`	Stable margins across cycles are the fingerprint of pricing power; wide swings say the company is a price-taker whose profitability belongs to the environment, not the franchise.

CATALYSTS & WHAT EACH LEVER IS WORTH

- **Cost of capital:** every 75bps of WACC moves fair value by ≈$11.00/share (13%). Rate path and the equity risk premium are the single biggest swing factor.
- **Terminal growth:** 50bps of perpetuity growth is worth ≈$2.55/share — the market's read on the company's long-run competitive position.
- **Operating margin:** each 100bps of EBIT margin across the forecast is worth ≈$8.22/share — watch pricing power, mix and cost discipline in quarterly prints.
- **Top-line delivery:** our base assumes 1.5% year-one growth fading to 2.5%; sustained beats/misses versus that glide path are the cleanest re-rating trigger either way.

KEY RISKS

- Single third-party data source: restatements, non-recurring items or classification differences can shift the output.